

Quarterly Investment Report

Q1 2023 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	53.2%	-0.36%	+1.07%
Credit	23.5%	+1.77%	+1.84%
Equities	8.4%	-3.77%	+4.53%
Property	7.0%	-0.44%	+0.31%
Cash	6.9%	+1.49%	+2.84%

Market Commentary

During Q1 2023, gilt yields moved by approximately +7bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.